

THE INVEST^{igator}

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ARBITRAGE FUNDS

Arbitrage funds essentially take advantage of price inefficiencies in the spot and futures markets. The gap between the spot and futures price of any security is called spread. Typically, prices in the futures segment trade at a premium to those in the cash segment (spot market). The fund manager captures the spread by selling the futures contract and buying equivalent position in spot market. On futures expiry day, when the spot and futures prices converge, the fund manager either reverses both legs of the trade or rolls it over to the next futures cycle. Higher the spread better the returns for arbitrage funds.

Arbitrage funds are known to deliver returns similar to liquid funds. However, they have advantage over liquid funds, as they are treated as equity funds for taxation purposes. If held for less than one year, then any gains are treated as STCG (Short Term Capital Gains) and if held for more than one year, then the gains are treated as LTCG (Long Term Capital Gains) and taxed at 10%, if the capital gains exceed Rs 1 lakh in a FY. Also, the credit risk is very low since the small debt portion (5% to 10%) is invested in Bank FD's and AAA rated bonds.

Arbitrage funds can be considered as part of the fixed income allocation with investment horizon of more than one year.

NAME	AUM (Rs Cr)	RETURN 1 YEAR	EXIT LOAD
ABSL ARBITRAGE	3254	6.15	0.25% / 30 DAYS
DSP ARBITRAGE	944	6.01	0.25% / 30 DAYS
EDELWEISS ARBITRAGE	3076	6.5	0.10% / 30 DAYS
IDFC ARBITRAGE	6607	5.67	0.25% / 30 DAYS
KOTAK EQUITY ARBITRAGE	12043	6.03	0.25% / 30 DAYS
L&T ARBITRAGE OPPN	644	6.35	0.50% / 30 DAYS
NIPPON INDIA ARBITRAGE	7068	6.1	0.25% / 30 DAYS
SBI ARBITRAGE	4747	5.78	0.25% / 30 DAYS
TATA ARBITRAGE	951	6.66	0.25% / 30 DAYS
UTI ARBITRAGE	2438	6.13	0.25% / 21 DAYS

Return as on 22 May 2020 & AUM as on 30 April 2020

MIRAE ASSET ARBITRAGE FUND New Fund Offer Opens on 3rd June 2020

Last Date for Investments under Chapter VI-A-B of IT Act Extended till **30th June 2020**

The Ministry of Finance has issued an Ordinance which states as under –

“The date for making various investment/payment for claiming deduction under Chapter VI-A-B of IT Act which includes Section 80C, 80D, 80G etc has been extended till 30th June 2020. Hence the payment/investment can be made up to 30.06.2020 for claiming the deductions under these Sections for **FY 2019-20.**”

SITTING ON THE FENCE

Since last 39 years some people are sitting on the fence to invest in the stock market. They could not invest because.....

1982 - Worst recession in 40 years, debt crisis.
 1983 - Market hits record - "Market too high".
 1984 - Record U.S. Federal deficits.
 1985 - Economic growth slows.
 1986 - Dow nears 2000 - "Market too high"
 1987 - The Crash -Black Monday.
 1988 - Fear of Recession.
 1989 - Junk Bond collapse.
 1990 - Gulf War, worst market decline in 16 years.
 1991 - Recession - "Market too high"
 1992 - Elections, market flat.
 1993 - Businesses continue restructuring.
 1994 - Interest rates are going up.
 1995 - The market is too high.
 1996 - Fear of Inflation.
 1997 - Irrational Exuberance.
 1998 - Asia Crisis.
 1999 - Y2K.
 2000 - Technology Correction.
 2001 - Recession, World Trade Centre Attack.
 2002 - Corporate Accounting Scandals.
 2003 - War in Iraq.
 2004 - U.S. has massive trade & budget deficits.
 2005 - Record oil & gas prices.
 2006 - Housing bubble bursts.
 2007 - Sub-prime mortgage crisis.
 2008 - Banking & Credit crisis.
 2009 - Recession - "Credit Crunch"
 2010 - Sovereign debt crisis.
 2011 - Eurozone crisis.
 2012 - U.S. fiscal cliff.
 2013 - Federal Reserve to "taper" stimulus.
 2014 - Oil prices plunge.
 2015 - Chinese stock market sell-off
 2016 - Brexit, U.S. presidential election.
 2017 - Stocks at record highs, Bitcoin mania.
 2018 - Trade Wars, rising interest rates.
 2019 - India GDP at 5 %
 2020 - Corona Virus Crisis

....because we tend to agree more on any bearish argument.

Some will always find a reason to not invest but Stock Market discounts future growth and no one can stop it in long run.

"One can create Money by investing in Bull Market but one can create Fortune by investing in Bear Market".

OLD TAX REGIME OR NEW TAX REGIME

Financial year 2020-21 has begun and brought with it the big question – should one continue with the old tax structure or opt for the new one? The new tax structure has lower rates but requires you to forego all your deductions and exemptions otherwise available, such as those under Sections 80C & 80D.

Which tax structure is better for you depends on how much deduction and exemption you are able to get under the old tax structure. The adjacent table shows the required minimum amount of deduction that brings the old and new tax structure at par in terms of tax payable. Such required minimum amount of deduction is given for various income groups.

If your total admissible deductions are more than that which is given in the table, you can stay with the old tax structure.

WAS TAXED AT...	ANNUAL INCOME	WILL BE TAXED AT...
NII	Up to ₹2.5 lakh	NII
5%	₹2.5 lakh to ₹5 lakh	5%
20%	₹5 lakh to ₹7.5 lakh	10%
	₹7.5 lakh to ₹10 lakh	15%
30%	₹10 lakh to ₹12.5 lakh	20%
	₹12.5 lakh to ₹15 lakh	25%
	Above ₹15 lakh	30%

AMOUNT OF DEDUCTION NECESSARY FOR TAX OUTGO IN THE OLD & NEW REGIME TO REMAIN SAME	
GROSS ANNUAL INCOME	DEDUCTION AMOUNT
6.00 lakh	50000
6.50 lakh	75000
7.00 lakh	100000
7.50 lakh	125000
8.00 lakh	137500
8.50 lakh	150000
9.00 lakh	162500
9.50 lakh	175000
10.00 lakh	187500
11.00 lakh	187500
12.00 lakh	191667
13.00 lakh	216667
14.00 lakh	233333
15.00 lakh	250000

Aditya Birla Sunlife MF halts fresh subscriptions in two debt funds.

Aditya Birla SL Mutual Fund has temporarily suspended acceptance of fresh subscriptions in two of its debt schemes with effect from 22nd May 2020. The two schemes are ABSL Medium Term Plan and ABSL Credit Risk Fund. The fund house has said in a statement, "We believe that there are substantial gains in our funds which would be realised by the existing investors over next few months. We do not wish to dilute this for existing investors by taking more money in these funds". However, investors can redeem and exit from both the funds any time.

Readers should note that as on 30th April 2020, ABSL Medium Term Plan (Total AUM Rs 2400 Cr) had 46% assets in AA+ and below rated securities and ABSL Credit Risk Fund (Total AUM Rs 2576Cr) had 72% assets in AA and below rated securities. As on 22nd May 2020, one - year return of ABSL Medium Term Plan is (-)7.40% and that of ABSL Credit Risk Fund is 1.57%.

Finally, we have a fund house that believes that low rated debt securities have a future and can give substantial returns over next 12 months.

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